NEXACORP INC.

Annual Report & Financial Statements

Fiscal Year Ended December 31, 2024

NASDAQ: NXCL | CIK: 0001598781 | Auditor: Deloitte & Touche LLP

"Driving Enterprise Intelligence at Scale"

1. Letter to Shareholders

Dear Fellow Shareholders,

Fiscal Year 2024 was a landmark year for NexaCorp. We crossed $636 million in total revenue — a 25.9% increase over the prior year — while simultaneously expanding our adjusted EBITDA margin to 28.3%, demonstrating that we can grow profitably and efficiently. Free cash flow reached $142 million, giving us significant flexibility to invest in future growth and return capital to shareholders.

The secular tailwinds driving enterprise cloud adoption remain as strong as ever. Our customers are under increasing pressure to do more with their data — to make it accessible, trustworthy, and actionable across hybrid and multi-cloud environments. NexaCloud, now in its fourth major version, is purpose-built to address precisely these challenges, and our 118% net revenue retention rate tells us that customers who adopt our platform continue to find more value over time.

During the year, we made significant investments in artificial intelligence — most notably through the expansion of NexaAI Studio to support large language model (LLM) fine-tuning on enterprise-governed data. This capability, generally available as of Q4 2024, positions NexaCorp as a critical infrastructure provider for the enterprise AI era.

Looking ahead to FY2025, we are providing initial guidance of $790M–$815M in total revenue (24–28% growth) and an adjusted EBITDA margin of 29%–31%. We believe we are in the early innings of a multi-decade shift in how enterprises manage and derive value from their data, and we are investing accordingly.

Sincerely,

Victoria Chen

Chief Executive Officer & Executive Chair

2. Financial Highlights

Table 2.1 — Five-Year Financial Summary ($M)

Metric	FY2021	FY2022	FY2023	FY2024	YoY Change
Revenue	312.1	405.4	505.2	636.3	+25.9%
Cloud Platform	178.4	236.2	302.1	368.6	+22.0%
Analytics & AI	82.3	107.6	113.4	153.4	+35.3%
Professional Svcs	44.1	52.4	68.0	76.1	+11.9%
Edge & IoT	7.3	9.2	21.7	38.2	+76.0%
Cost of Revenue	97.0	119.7	138.9	164.2	+18.2%
Gross Profit	215.1	285.7	366.3	472.1	+28.9%
Gross Margin %	68.9%	70.4%	72.5%	74.2%	+1.7pp
R&D	78.3	97.6	115.9	139.7	+20.5%
Sales & Marketing	103.8	128.7	157.1	183.7	+16.9%
General & Admin	32.1	38.2	44.5	52.4	+17.8%
GAAP Operating Income	0.9	21.2	48.8	96.3	+97.3%
GAAP Net Income	(4.2)	14.8	41.2	82.6	+100.5%
GAAP EPS (diluted)	(0.04)	0.14	0.38	0.76	+100.0%
Non-GAAP Adj. EBITDA	42.1	71.6	124.3	179.8	+44.7%
Non-GAAP EBITDA Margin	13.5%	17.7%	24.6%	28.3%	+3.7pp
Free Cash Flow	27.8	57.4	102.1	141.8	+38.9%
FCF Margin	8.9%	14.2%	20.2%	22.3%	+2.1pp

Note: Figures in USD millions. Non-GAAP measures exclude stock-based compensation ($48.3M in FY2024), amortization of acquired intangibles ($12.1M), restructuring charges ($4.8M), and the tax impact of these items.

3. Consolidated Income Statement

Table 3.1 — Consolidated Statements of Operations (GAAP, in $000s)

	FY2024	FY2023	FY2022
REVENUES			
Subscription & Support	495,840	388,640	305,180
Professional Services	76,140	68,020	44,140
Hardware (Edge)	64,320	48,540	27,260
Total Revenues	**636,300**	**505,200**	**376,580**
COST OF REVENUES			
Cost of Subscription	94,240	79,340	68,920
Cost of Professional Svcs	48,120	42,380	34,210
Cost of Hardware	21,840	17,180	9,970
Total Cost of Revenues	**164,200**	**138,900**	**113,100**
Gross Profit	**472,100**	**366,300**	**263,480**
OPERATING EXPENSES			
Research & Development	139,700	115,900	97,600
Sales & Marketing	183,700	157,100	128,700
General & Administrative	52,400	44,500	38,200
Total Operating Expenses	**375,800**	**317,500**	**264,500**
Operating Income (Loss)	**96,300**	**48,800**	**(1,020)**
Interest Income	12,400	8,700	4,200
Other (Expense) / Income	(4,100)	(2,300)	1,400
Income Before Taxes	104,600	55,200	4,580
Income Tax Expense	22,000	14,000	8,820
Net Income (Loss)	**82,600**	**41,200**	**(4,240)**
Weighted Avg Shares (diluted, 000s)	108,600	108,400	108,200
GAAP EPS (diluted)	$0.76	$0.38	$(0.04)

4. Balance Sheet Highlights

Table 4.1 — Condensed Balance Sheet ($000s)

	Dec 31, 2024	Dec 31, 2023
ASSETS		
Cash & Cash Equivalents	312,400	218,600
Short-term Investments	186,200	142,400
Accounts Receivable (net)	142,800	118,200
Deferred Contract Costs (current)	28,400	24,600
Other Current Assets	24,100	18,900
Total Current Assets	**693,900**	**522,700**
Property & Equipment (net)	98,400	87,200
Operating Lease Right-of-Use	64,200	72,100
Goodwill	187,600	187,600
Intangible Assets (net)	42,300	54,400
Deferred Contract Costs (LT)	62,400	54,200
Other Long-term Assets	18,600	14,800
Total Assets	**1,167,400**	**993,000**
LIABILITIES & EQUITY		
Accounts Payable	28,400	24,100
Accrued Liabilities	84,200	72,600
Deferred Revenue (current)	168,400	138,200
Total Current Liabilities	**281,000**	**234,900**
Deferred Revenue (long-term)	42,100	38,400
Operating Lease Liabilities (LT)	58,400	66,800
Long-term Debt	0	0
Total Liabilities	**381,500**	**340,100**
Total Stockholders' Equity	**785,900**	**652,900**
Total Liabilities & Equity	**1,167,400**	**993,000**

Note: NexaCorp carries zero long-term debt as of December 31, 2024, maintaining a strong balance sheet with $498.6M in total cash and short-term investments.

5. Cash Flow Analysis

Table 5.1 — Condensed Cash Flow Statement ($000s)

	FY2024	FY2023
OPERATING ACTIVITIES		
Net Income (Loss)	82,600	41,200
Depreciation & Amortization	38,400	34,100
Stock-Based Compensation	48,300	42,100
Change in Deferred Revenue	34,000	26,800
Change in Accounts Receivable	(24,600)	(18,400)
Other Working Capital Changes	(14,200)	(8,900)
Net Cash from Operations	**164,500**	**116,900**
INVESTING ACTIVITIES		
Capital Expenditures	(22,700)	(14,800)
Purchases of Investments	(86,400)	(68,200)
Maturities of Investments	42,600	38,400
Acquisition Payments	0	(8,200)
Net Cash from Investing	**(66,500)**	**(52,800)**
FINANCING ACTIVITIES		
Stock-Based Award Exercises	18,400	14,200
ESPP Proceeds	4,200	3,800
Repurchase of Common Stock	(62,800)	(42,400)
Net Cash from Financing	**(40,200)**	**(24,400)**
Net Change in Cash	**57,800**	**39,700**
Free Cash Flow (Operating - CapEx)	**141,800**	**102,100**

6. Segment Performance & Metrics

6.1 ARR Cohort Analysis

Table 6.1 — Annual Recurring Revenue by Customer Cohort ($M)

Cohort	Initial ARR	Year 1 ARR	Year 2 ARR	Year 3 ARR	3-Yr NRR
2020 Cohort (n=287)	$42.3M	$46.8M	$52.4M	$60.1M	142%
2021 Cohort (n=312)	$58.4M	$65.2M	$74.8M	$86.3M	148%
2022 Cohort (n=358)	$78.1M	$89.4M	$104.2M	$121.6M	156%
2023 Cohort (n=241)	$62.8M	$72.4M	$85.3M	—	—
2024 Cohort (n=420)	$94.2M	—	—	—	—

6.2 Revenue Trend (Visual Representation)

Figure 6.2 — Quarterly Revenue Trend FY2024 (Bar Chart)

Quarter	Revenue	Relative Volume	YoY Growth
Q1 FY2024	$142.4M		**+24.1%**
Q2 FY2024	$154.8M		**+25.3%**
Q3 FY2024	$162.1M		**+26.7%**
Q4 FY2024	$177.0M		**+27.9%**

6.3 Customer Metrics

Table 6.3 — Customer Metrics (FY2024 vs FY2023)

Metric	FY2024	FY2023	Change
Total Enterprise Customers	3,200	2,780	+15.1%
$100K+ ARR Customers	1,842	1,560	+18.1%
$1M+ ARR Customers	412	324	+27.2%
$5M+ ARR Customers	94	68	+38.2%
Net New Customers (in year)	420	240	+75.0%
Churned Customers (in year)	(148)	(182)	-18.7%
Net Revenue Retention Rate	118%	115%	+3pp
Gross Revenue Retention Rate	94%	92%	+2pp
Average ARR per Customer	$181,600	$162,600	+11.7%
Customer Acquisition Cost (CAC)	$42,400	$38,900	+9.0%

Metric	FY2024	FY2023	Change
LTV:CAC Ratio	12.4x	11.8x	+0.6x
Average Contract Length (months)	28.4	26.8	+1.6mo

7. FY2025 Guidance & Outlook

Management provides the following guidance for Fiscal Year 2025, based on current market conditions, customer pipeline, and internal forecasts:

Metric	FY2025 Guidance	FY2024 Actual	Implied YoY Growth
Total Revenue	$790M – $815M	$636M	+24% – +28%
Annual Recurring Revenue	$720M – $740M	$581M	+24% – +27%
Non-GAAP Gross Margin	75% – 76%	74.2%	+0.8pp – +1.8pp
Non-GAAP Adj. EBITDA	$230M – $253M	$180M	+28% – +40%
Adj. EBITDA Margin	29% – 31%	28.3%	+0.7pp – +2.7pp
Non-GAAP EPS (diluted)	$1.62 – $1.78	$1.48 (est.)	+9% – +20%
Free Cash Flow	$185M – $205M	$142M	+30% – +44%
Net New Customers	450 – 550	420	+7% – +31%

Forward-Looking Statements: This document contains forward-looking statements within the meaning of Section 27A of the Securities Act of 1933 and Section 21E of the Securities Exchange Act of 1934. Actual results may differ materially from those anticipated due to risks and uncertainties including but not limited to: macroeconomic conditions, competition, cybersecurity incidents, and regulatory changes. NexaCorp undertakes no obligation to update forward-looking statements.